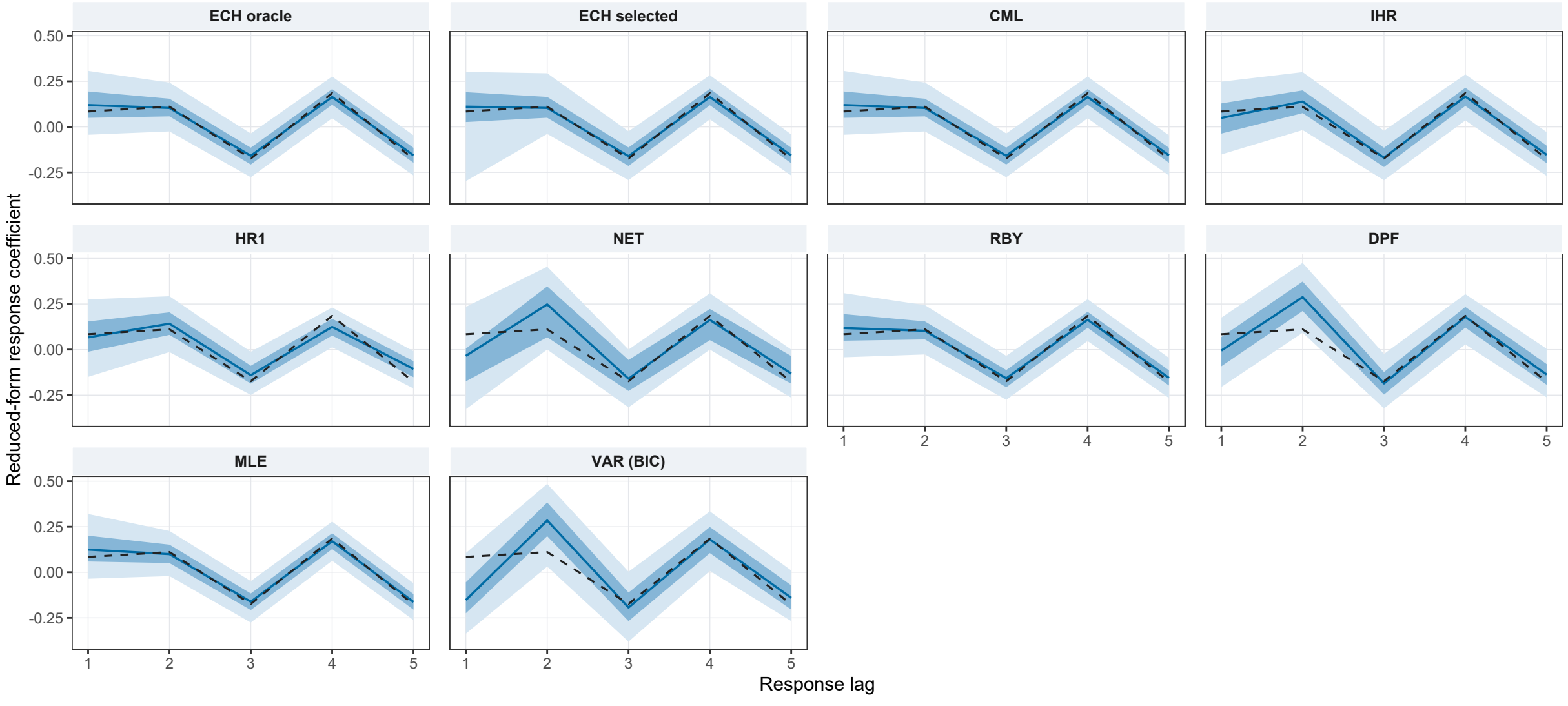
Design 2: response y1 to innovation 1

Sampling distribution of IRF estimates | n = 100



Blue line: median. Dark band: 25th-75th percentiles. Light band: 5th-95th percentiles. Dashed line: population response.
Bands describe variation across Monte Carlo replications; they are not confidence intervals. Extreme losses remain in the RMSE summaries.